



2nd Year
Second Semester - 2024/2025
Public Finance and Customs section
English section



Public Finance ⁽²⁾

Damanhur University

Date: 4/6/2025

Faculty of Commerce

Time: 2 hours

Model: A

75 Marks

6 Pages

Examinations Committee:

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Part One (37.5 Marks)

Guidance
notes for the
student:

Answer the First and Second Questions on the electronic answer sheet (Bubble Sheet) designated for objective questions, and answer the Third Question on the answer sheet designated for essay questions.

Answer the Following Questions

Question One, MCQs (15marks)

Find the correct answer for each of the following questions:

1. From studying the Public expenditure, all the following are correct except :

- A- Public expenditure is spending made by the government for the satisfaction of public goods. ✓
- B- The nature of public expenditure differs from country to country as per the needs and requirements. ✓
- ~~C- Public expenditure in developing country is mainly used to achieve economic stability.~~
- D- In developing country, government has a fundamental role to attainment a higher rate of growth and social justice. ✓

2. From studying the Historical Views of Public expenditure:

- A- The modern view was opposed to increase public expenditure.
- ~~B- According to The classical school, Functions of the state should be restricted.~~
- C- The modern view always stood for minimum taxation.
- D- None of the above.

3. According to the Revenue Criteria and Functional Criteria, Public spending to provide Free Education is,

- A- Expenditure with return and Developmental Functions.
- ~~B- Expenditure with indirectly beneficial and Developmental Functions.~~
- C- Expenditure without any return and Protective Functions.
- D- Expenditure without any return and Recurrent Functions

4. Public expenditure should be possible for public authorities to vary it according to the needs, this sentence is the definition of :

- A- Canon of Benefit.
- B- Canon of Economy.
- C- Canon of Productivity.
- ~~D- Canon of elasticity.~~

5. From studying Production subsidy, suppose a commodity is produced in a competitive market, and its marginal cost is increasing. Elasticity of The Demand curve is greater than elasticity of The Supply curve. In this case, the benefit of subsidy is distributed

- A- Mainly to consumer. ~~B- Mainly to producer.~~
C- Completely to producer. ~~D- Split evenly between the producer and consumer.~~

6. From studying the Effects of Public Expenditure on Economic Stability:

- ~~A- To antidote the situation of depression, the government should plan for a comprehensive increase in public expenditure.~~
B- Decrease public expenditure lead to increase employment and aggregate demand.
C- Increase public expenditure lead to decrease employment and aggregate demand.
D- All the above is correct.

From studying unemployment grant, suppose the wage per hour is 250\$ and a worker choose to be in leisure for 10 hours/day. The government decided to apply unemployment grant with a basic amount (G) equal 1000\$ per month and the grant is reduced by 20% for each additional dollar earned. Use the previous information and the following Graph in answering the following:

7. At leisure hours = 10, the income earned before the grant = $250 \times 14 =$

- A- 2000 \$ B- 2500 \$ ~~C- 3500 \$~~ D- Nothing at all $B = 1000 - (20\% \times 3500)$

8. If he stays working the same hours, The total income earned after the grant, = 3,000

- A- 3000 \$ ~~B- 3800\$~~ C- 4500 \$ D- Nothing at all

9. The level of earnings which wouldn't receive any unemployment grant = $\frac{G}{.2} = \frac{1000}{.2}$

- ~~A- 5000 \$~~ B- 3500 \$ C- 2500 \$ D- Nothing at all

10. At the level of earnings which wouldn't receive any grant, the leisure hours = $\frac{5000}{250} = 20$

- ~~A- 4 hours~~ B- 14 hours C- 20 hours D- Nothing at all

11. At the same basic leisure hours = 10, If the reduction rate (T) increased to 25%. The benefit received (B) will be = $B = 1000 - (25\% \times 3500)$

- A- Zero ~~B- 125~~ C- 375 D- Nothing at all

From studying the effect of Medicaid on Resource Efficiency, Egypt has started a program to eliminate some serious diseases among new born infants through providing vaccination to infants nationwide especially in poor and rural areas – Government will cover only 75% of the market price of the vaccine, Before the government's intervention – the marginal cost of vaccination is fixed at 40 L.E per unit, and the quantity of demanded was 1500 units. When the government decided the subsidy, the quantity of demanded increased to 2500 units. According to this information:

12. After a Medicaid subsidy, the price of medical services becomes =

- A- Zero ~~B- 10~~ C- 30 D - Nothing at all

13. After a subsidy, the change in the consumer surplus =

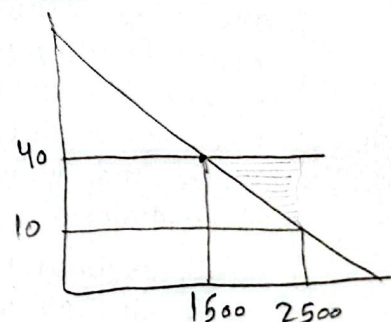
- A- 20000 B- 80000 ~~C- 60000~~ D - Nothing at all

14. Total cost =

- ~~A- 75000~~ B- 45000 C- 25000 D- Nothing at all

15. After a subsidy, the excess burden of Medicaid subsidy =

- A- 60000 B- 45500 C- 20000 ~~D- 15000~~



Question Two, True or False (12.5marks)

Checking out which of the following statements are true or false.

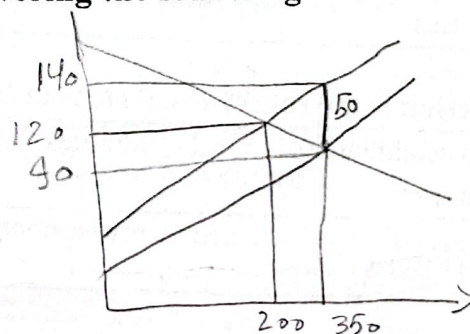
1. According to Functional Criteria, the public expenditure may classify to Primary expenditure, Secondary expenditure. ✗
2. Consumption Expenditures will be more positive effect on national income rather than the effect of Capital Expenditures. ✗
3. From studying Medicaid, when families earned enough money to get out of welfare, they immediately lost their benefits. ✓
4. Financial aid and Medical insurance are In kind Subsidies. ✗
5. From studying Production subsidy, when supply curve is perfectly elastic, the producer gains all the benefit from the subsidy. ✗
6. If the supply curve is elastic, the government consumption spending can act as expansionary fiscal policy. ✓
7. Medicaid creates work disincentives to keep earnings below the cut off level. ✓
8. The Aggregate supply will shift downward, when the government Increase consumption or capital Expenditures. ✗
9. The excess burden of Medicaid subsidy measure of the gain in efficiency due to the in-kind subsidy. ✗
10. Under (TANF) programs, increase Grant reduction rate will lead to increase the breakeven level of earnings. ✗

Question Three, (10 marks)

Answer the following questions on the answer sheet designated for essay questions.

From studying Production subsidy, suppose a commodity is produced in a competitive market, and increasing marginal cost, Elasticity of The Supply curve is greater than elasticity of the demand curve. The equilibrium price equals 120 L.E per Ton and the quantity at this price equals 200 Tons. The government decides to give the producer a unit subsidy = 50 L.E per Ton; as a result the quantity of production will increase to 350 Tons and the price will decrease to 90 L.E, Use the previous information in answering the following:

- 1- Show graphically this case. ✓
- 2- Calculate the change in the consumer surplus.
- 3- Calculate the overall cost of the government's subsidy.
- 4- Calculate the benefit of subsidy to the consumer.
- 5- Calculate the benefit of subsidy the producer.



Best Wishes,
Dr. Abeer Abouelmagd

Q (1): Choose True or False for the following sentences

No.	Sentence
11	According to the classic, adhering to the principle of balanced budget will ensure that individuals' economic decisions are not distorted. ✓
12	The Egyptian government follows the monetary basis in preparing the budgets of the economic public bodies. ✗
13	Preparing the final account on an cash basis fails to reflect the true picture of the government fiscal activity. ✓
14	Low transparency is the most prominent risk of extra-budgetary funds, which makes them more vulnerable to corruption. ✓
15	According to the economic classification, the fifth chapter of public revenues (borrowing) reflects the budget cash deficit. ✗
16	The total deficit reflects the cash deficit plus the net acquisition of financial assets. ✓
17	The primary deficit reflects the total deficit minus interest payments (Chapter 3 on the Uses side). ✓
18	The citizen budget aims to enhance the quality and efficiency of external auditing by independent financial oversight institutions. ✗
19	Presentational performance budgeting embeds performance metrics in the budget ✗
20	The principal-agent problem in public finances arises from voters delegating fiscal power to elected politicians. ✓

Q (2): Choose the right answer for the following

16- According to classical thought, what was the primary role of the state budget?

a) To stimulate economic growth	c) To prioritize social welfare programs
b) To balance public spending and revenue annually for financial neutrality	d) To regulate private sector activities

17- What does allocative efficiency in the context of PFM refer to?

a) Ensuring that public spending is kept to a minimum	c) Achieving maximum value for money in public service delivery
b) Allocating public resources to agreed strategic priorities	d) Balancing the budget annually

18- What is the role of fiscal rules in budgetary institutions?

a) To establish procedural guidelines for budget execution	c) To impose substantive constraints on spending, taxation, deficit, and debt
b) To regulate private sector investments	d) To oversee international trade agreements

19- Which entity in Egypt is responsible for issuing the budget circular?

a) Ministry of Finance	c) Ministry of Planning
b) Central Bank of Egypt	d) House of Representatives

20- What is the purpose of the Citizen's Budget in Egypt?

a) To outline the government's long-term fiscal strategy	c) To provide a detailed financial report for auditors
b) To regulate private sector contributions	d) To offer a simplified version of the budget for public transparency

21- What is a key feature of the budget execution phase in Egypt?

a) administrative bodies can spend without parliamentary approval	c) The budget is revised every month
b) Monthly cash flow plans must be uploaded to the Ministry's system	d) The Central Bank controls all disbursements

22- Which sector is NOT part of Egypt's general government sector?

a) Local administration units	c) Central government units
b) Social security funds	d) Public corporations

23- What does the principle of budget generality in the Egyptian state budget entail?

a) All resources and expenditures are consolidated into one document	c) Resources are not allocated to specific expenditures unless specified by law
b) The budget is flexible to handle emergencies	d) The budget is prepared annually

24- How does the classical view of the state budget differ from modern financial thought?

a) Classical thought prioritizes economic stimulus, while modern thought emphasizes neutrality	c) Classical thought focuses on long-term planning, while modern thought is short-term oriented
b) Classical thought demands annual budget balance, while modern thought allows deficits for broader goals	d) Classical thought excludes private sector activity, while modern thought integrates it

25- What distinguishes Egypt's dual budget system?

a) It allocates specific revenues to specific expenditures	c) It differentiates between capital and recurrent expenditures
b) It excludes public economic entities from the budget	d) It separates revenue and expenditure into two fiscal years

26- What restriction applies to the Egyptian parliament's ability to amend the budget?

a) Amendments must not increase the fiscal deficit	c) Amendments are limited to recurrent expenditures
b) Amendments require approval from the Central Bank	d) Amendments can only reduce spending

27- Which classification would be used to assess spending on education programs?

a) Administrative classification	c) Functional classification
b) Economic classification	d) Financial classification

28- What is included in the total deficit?

a) Cash deficit plus loans repayment	c) Primary deficit minus interest payments
b) Cash deficit plus net acquisition of financial assets	d) General Revenues minus General Expenditures

29- What defines the primary deficit?

a) Total deficit minus interest payments	c) Total revenues minus total expenditures
b) Cash deficit plus loans repayment	d) Net acquisition of financial assets minus cash deficit

30- What is the primary focus of performance budgeting compared to traditional line-item budgeting?

a) Detailed tracking of input expenditures	c) Enforcing strict ceilings on spending categories
b) Linking resources to measurable outputs and outcomes	d) Limiting managerial control over resources

31- In performance budgeting, "reach" refers to:

a) The beneficiaries or groups impacted by a program	c) The cost of implementation of programming
b) The efficiency of resource use	d) The quality of service outputs

32- Which performance budgeting type uses contractual mechanisms to link funding to results?

a) Performance-informed budgeting	c) Presentational performance budgeting
b) Line-item budgeting	d) Direct performance budgeting

33- Which budgeting approach most likely leads to micromanagement?

a) Performance budgeting	c) Zero-based budgeting
b) Line-item budgeting	d) Program budgeting

34- What is the key advantage of extra-budgetary funds?

a) They simplify budget oversight	c) They ensure fiscal discipline
b) They reduce the need for legislative approval	d) They can simulate private market conditions to increase efficiency

35- Which organization reviews the Final Accounts Report for accuracy and compliance

a) The Ministry of Finance	c) The Central Auditing Organization
b) The House of Representatives	d) The Plan and Budget Committee

Q (3): Essay

In your opinion, what are the most important functions of public budget systems?

With my best wishes